

SiyaBusa ERP

Use of Funds 4Month

Investor Documentation

Masaphokati Technologies (Pty) Ltd

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Department: Executive

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Table of Contents

- 1. investor docs/USE OF FUNDS 4 MONTH RUNWAY
-

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Use of Funds — 4-Month Runway

February - May 2026

Investment Amount: R200,000 (~\$11,000 USD)

Duration: 4 months

Objective: Achieve first paying customer by May 2026 **Document Date:** January 29, 2026

Executive Summary

This document details how R200,000 will be deployed over 4 months to take SiyaBusa ERP from "production ready" to "revenue generating."

Key Principles:

- Every user pays R980/month — no free tier
 - Paid marketing to acquire customers
 - Each user covers their cost (R380) + margin (R600)
 - Lean operations to maximize runway
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Monthly Breakdown

Month 1: February 2026 — Launch Marketing

Focus: Product polish + marketing campaigns go live

Expense	Amount	Details
AWS Infrastructure	R5,500	ECS, RDS, ALB, S3
Domain & Email	R500	siyabusaerp.co.za, SendGrid paid
Technical Oversight & Dev Review	R15,000	Product quality, architecture
Mobile & Internet	R1,500	Business communications
Transport	R2,000	Initial meetings
Marketing - LinkedIn Ads	R3,000	Lead generation campaigns
Marketing - Google Ads	R2,000	Search ads
Marketing - Content	R1,500	Blog, video production
Legal - Terms of Service	R2,500	Customer contracts, T&Cs drafted
Contingency (10%)	R1,500	Buffer
Month 1 Total	R35,000	

Deliverables:

-  All critical bugs resolved
-  LinkedIn + Google Ads campaigns live
-  Landing page optimized for conversion
-  First 50+ leads captured

Month 2: March 2026 — Beta + Lead Gen

Focus: Beta testing + accelerate lead generation

Expense	Amount	Details
AWS Infrastructure	R6,000	Increased usage (beta users)
Domain & Email	R500	Continued
Technical Oversight & Dev Review	R15,000	Ongoing product quality
Mobile & Internet	R1,500	Business communications
Transport	R3,000	Client visits, demos
Marketing - LinkedIn Ads	R4,000	Increased spend (working)
Marketing - Google Ads	R2,500	Search ads
Marketing - Content	R2,000	Case study prep, videos
Marketing - Event	R3,000	1 networking event/trade show
Demo Environment Setup	R2,000	Dedicated demo tenant, sample data
Contingency (10%)	R2,500	Buffer
Month 2 Total	R42,000	

Deliverables:

-  5 beta partners actively using system
-  100+ qualified leads in pipeline
-  First demos conducted
-  Feedback collected and prioritized

Month 3: April 2026 — Sales Push

Focus: Convert leads to trials to customers

Expense	Amount	Details
AWS Infrastructure	R6,500	Demo environments
Domain & Email	R500	Continued
Technical Oversight & Dev Review	R15,000	Ongoing product quality
Mobile & Internet	R1,500	Business communications
Transport	R5,000	Heavy client meeting month
Marketing - LinkedIn Ads	R4,000	Retargeting campaigns
Marketing - Google Ads	R3,000	Increased intent keywords
Marketing - Content	R2,000	Testimonial videos
Marketing - Referral	R1,500	R500/referral incentives
Sales Materials	R2,000	Printed proposals, demo materials
Security Audit	R2,500	Pre-customer security review
Contingency (10%)	R2,500	Buffer
Month 3 Total	R46,000	

Deliverables:

-  30+ demo meetings conducted
-  15+ trials started (14-day free trial)
-  5+ proposals sent
-  First contracts in negotiation

Month 4: May 2026 — FIRST CUSTOMER 🎉

Focus: Sign first paying customer, complete onboarding

Expense	Amount	Details
AWS Infrastructure	R7,500	Production load + customer data
Domain & Email	R500	Continued
Technical Oversight & Dev Review	R15,000	Ongoing product quality
Mobile & Internet	R1,500	Business communications
Transport	R6,000	Client onboarding visits (multiple)
Marketing - LinkedIn Ads	R3,000	Maintain presence
Marketing - Google Ads	R2,000	Maintain presence
Marketing - PR	R2,000	Press release, first customer announcement
Customer Onboarding	R12,000	Data migration, training (2 days), go-live support
Legal - SLA & Contract	R5,000	Service agreement, SLA, attorney review
Bank & Payment Gateway	R4,000	Business bank fees, Payfast/Yoco setup
Customer Success Tools	R3,500	Helpdesk (Freshdesk), documentation
Insurance (Liability)	R4,000	Professional indemnity, cyber liability
First Hire Prep	R6,000	Job posts, recruitment fees, interview costs
Contingency (10%)	R5,000	Buffer for unexpected costs
Month 4 Total	R77,000	

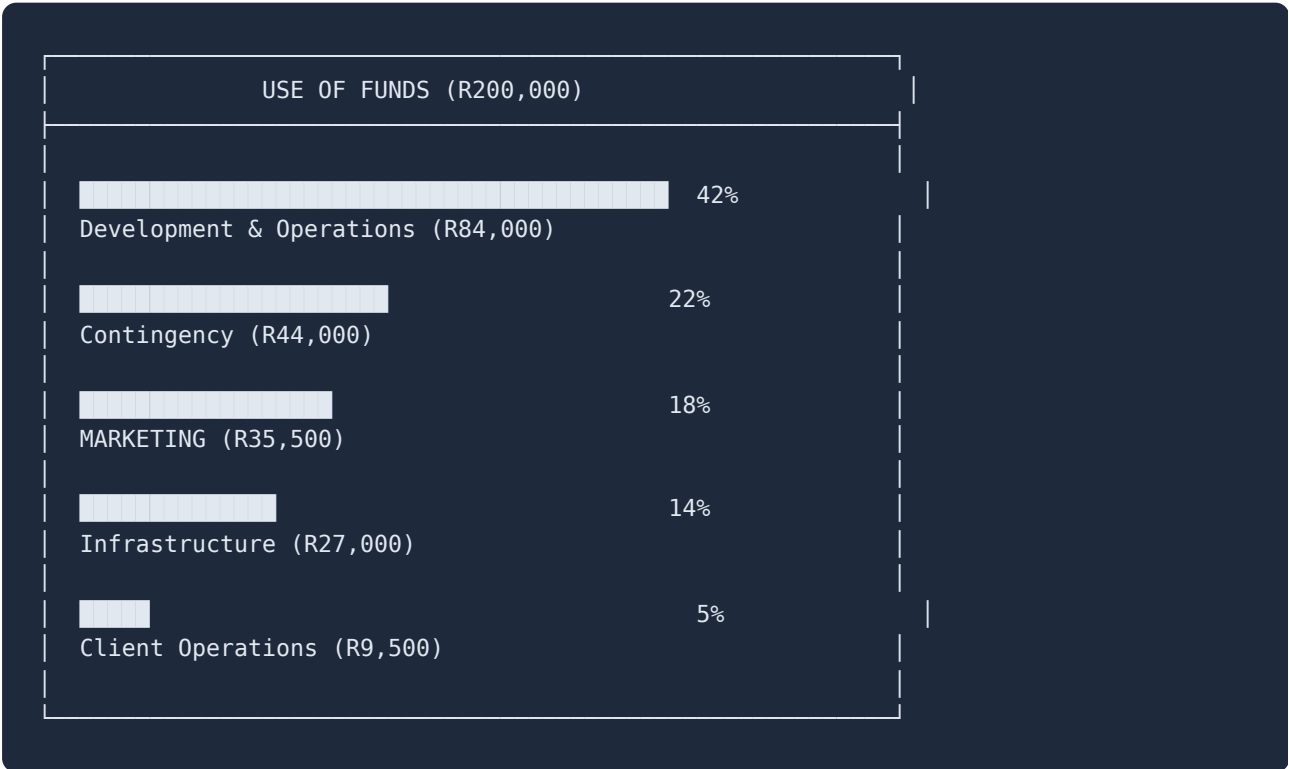
Deliverables:

-  **FIRST PAYING CUSTOMER SIGNED**
-  First MRR recorded (R2,990+ for 10 users)
-  Customer successfully onboarded
-  Case study in production

Summary by Category

Category	Month 1	Month 2	Month 3	Month 4	Total
Infrastructure (AWS + Domain)	R6,000	R6,500	R7,000	R8,000	R27,500
Development & Operations	R18,500	R19,500	R22,000	R22,500	R82,500
Marketing	R6,500	R11,500	R10,500	R7,000	R35,500
Customer Operations	R0	R2,000	R2,000	R15,500	R19,500
Legal & Compliance	R2,500	R0	R2,500	R9,000	R14,000
Business Setup (Payments, Hiring)	R0	R0	R0	R9,500	R9,500
Contingency (~10%)	R1,500	R2,500	R2,500	R5,000	R11,500
TOTAL	R35,000	R42,000	R46,500	R77,000	R200,000

Percentage Allocation



Marketing Budget Breakdown

Why 18% on Marketing?

You can't grow without customers. We're investing in **paid acquisition** because:

- Organic growth is too slow for 4-month runway
- LinkedIn/Google ads provide measurable ROI
- We need to build pipeline fast

Marketing Spend by Channel

Channel	4-Month Spend	% of Marketing	Purpose
LinkedIn Ads	R14,000	39%	B2B lead generation
Google Ads	R9,500	27%	Search intent capture
Content/Video	R7,500	21%	Thought leadership
Events/PR	R3,000	8%	Networking, credibility
Referrals	R1,500	4%	Word-of-mouth incentives
Total	R35,500	100%	

Expected Marketing Results

Month	Leads	Demos	Trials	Customers
Feb	50	5	2	0
Mar	100	15	5	0
Apr	80	20	10	0
May	60	15	8	1-3
Total	290	55	25	1-3

Conversion Funnel:

- Lead → Demo: 19%
- Demo → Trial: 45%
- Trial → Customer: 4-12%

Infrastructure Cost Details

AWS Cape Town (af-south-1) — Monthly Costs

Service	Configuration	Monthly Cost
ECS Fargate - Backend	0.5 vCPU, 1GB RAM	R1,200
ECS Fargate - Frontend	0.25 vCPU, 0.5GB RAM	R600
RDS PostgreSQL	db.t3.micro, 20GB SSD	R1,800
Application Load Balancer	Standard	R400
S3 Storage	~50GB documents	R200
CloudWatch	Logs & metrics	R150
Route 53	DNS hosting	R50
Data Transfer	~100GB/month	R100
Email (SendGrid)	10,000 emails/month	R500
Total		R5,000 - R7,500

Note: Costs increase with beta users and production traffic.

Why AWS Cape Town?

1. **Data sovereignty** - SA data stays in SA
2. **Latency** - <50ms response times
3. **POPIA compliance** - Local data residency
4. **Customer confidence** - "Your data never leaves Africa"

What This Investment Does NOT Cover

To be transparent, R150,000 is a **tight runway**. It does NOT include:

Not Included	Why
Employee salaries	Founder operates solo
Office space	Working from home
Legal fees	Using standard templates
Accounting fees	DIY until revenue
Paid advertising (large scale)	Organic growth focus
Hardware/equipment	Using existing laptop
Travel (flights)	Local meetings only

Risk Mitigation

What if first customer takes longer?

Scenario: No customer by May 2026

Mitigation:

- R47,000 contingency extends runway by ~5 weeks
- Reduce marketing spend 50% (extends 2 weeks)
- Reduce operational costs (extends 2 weeks)
- Revenue from implementation services (R7,500-R25,000 per customer)
- Total runway extension possible: ~2 months

What if AWS costs spike?

Scenario: Unexpected traffic or usage

Mitigation:

- AWS billing alerts set at 80% of budget
- Auto-scaling with cost limits
- Reserved instances if predictable load
- Contingency buffer covers 2x spike

What if marketing doesn't work?

Scenario: Low lead quality or high CAC

Mitigation:

- Pause underperforming channels within 2 weeks
 - Reallocate to channels showing ROI
 - Pivot to outbound/cold outreach (lower cost)
 - Leverage beta partner referrals
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Investor Reporting

Commitment: Weekly updates every Friday

Report	Contents
Week 1-4	Marketing launch, lead metrics, beta progress
Week 5-8	Demo metrics, pipeline growth, CAC tracking
Week 9-12	Trial conversions, proposals sent
Week 13-16	Customer status, MRR booked

Success Metrics

Month	Metric	Target
Feb	Marketing campaigns live	LinkedIn + Google Ads
Feb	Leads captured	50+
Mar	Active beta users	5+ users
Mar	Demos conducted	15+
Apr	Trials started	10+
Apr	Proposals sent	5+
May	PAYING CUSTOMERS	1+ customers
May	MRR	R7,840+ (8 users @ R980)

Per-User Pricing: R980/User

No Free Tier. Every user pays after 14-day trial.

Why R980/User?

Component	Amount
Cost to serve per user	R380
Margin per user	R600 (61%)
Price per user	R980/month

Pricing Tiers

Tier	Per User	Min Users	Min Monthly
Starter	R980	5	R4,900
Professional	R931 (5% off)	10	R9,310
Enterprise	R882 (10% off)	25	R22,050

Competitive Position

Competitor	Per User	Our Position
SAP	R2,500-R5,000	60-80% cheaper
Sage X3	R1,000-R2,000	Competitive
Sage 300	R800-R1,200	Competitive
SiyaBusa	R980	Industry-tailored suite

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